

# Strategic Customer Retention: Combatting Churn at the Source

**Target Audience:** Executive Leadership Team **Prepared By:** Business Analytics Team

## Executive Summary

Customer churn is not just an operational metric; it is capital actively leaving our ecosystem. Following a deep-dive analysis of our customer data, we have identified that our highest financial risk does not come from low-balance accounts closing, but rather from high-value accounts going dormant.

This presentation outlines the top three strategic focus areas to reverse this trend. The goal is to move beyond generic "save everyone" tactics and instead deploy highly targeted, data-driven interventions to protect our most valuable assets.

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## Slide 1: The Analytical Journey (How We Got Here)

### Speaker Notes:

*"Good morning, team. When we set out to understand why customers were leaving, we didn't just look at who closed their accounts. We looked at **who** we could not afford to lose. We segmented our data by looking at the intersection of Wealth (Account Balance), Loyalty (Tenure), and Safety (Credit Score). We discovered that our biggest threat is 'Silent Churn'—where millions of dollars remain in our bank, but the customers have stopped actively engaging with us."*

### Our Methodology:

1. **Isolated the Top Tier:** We utilized window functions to rank the entire customer base by balance, identifying the "whales" of the portfolio.
  2. **Cross-Referenced Engagement:** We mapped these top-tier accounts against their active status.
  3. **Evaluated Risk:** We applied Credit Score and Tenure parameters to separate high-value, safe retention targets from high-risk liabilities.
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## Slide 2: Focus Area 1 - The "Silent Churn" (High-Value Inactivity)

**The Data Insight:** Our analysis revealed a critical vulnerability: A significant portion of our absolute highest-balance customers (those holding upwards of \$200,000) are marked as **Inactive**.

- **The Business Impact:** Wealthy, inactive customers are using us as a "parking lot" for their money. Because they have no daily friction or active ties to our services, they are highly susceptible to competitor offers. They are one click away from moving their capital.

### Strategic Ideas to Combat:

- **The "Concierge" Reactivation Campaign:** Assign dedicated relationship managers to the top 5% of inactive accounts. A personal phone call offering a complimentary financial review can re-engage them.
  - **Targeted Rate Incentives:** Offer a specialized, slightly reduced loan interest rate or a boosted savings yield *only* accessible if they reactivate—for example, by setting up a new direct deposit or executing 3+ transactions a month.
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## Slide 3: Focus Area 2 - The "Year 3 Cliff" (Tenure Concentration)

**The Data Insight:** By partitioning our customers by their tenure, we noticed a heavy concentration of our wealthiest accounts sitting exactly at the **3-year mark**.

- **The Business Impact:** This indicates a highly successful customer acquisition phase three years ago. However, if this specific cohort begins to churn simultaneously (due to expiring introductory offers or general fatigue), the capital drain will be massive and sudden.

### Strategic Ideas to Combat:

- **The 3rd-Anniversary "Lock-In" Offer:** Proactively approach customers approaching their 36-month anniversary. Offer a loyalty rate reduction on existing lines of credit or waive premium account fees for the next two years.
  - **Tenure-Based Tiering:** Implement a system where product benefits automatically upgrade at milestone years (Years 3, 5, and 10), ensuring customers always feel they are leaving value on the table if they switch banks.
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## Slide 4: Focus Area 3 - The "Credit-Risk Paradox"

**The Data Insight:** We cannot save everyone, nor should we. Our analysis showed that having a high balance does not equate to being a "safe" customer. We have high-balance customers with credit scores dipping into high-risk territory (sub-500).

- **The Business Impact:** Retention efforts cost money (lowered rates, marketing dollars). Spending retention budget on high-flight-risk or high-default-risk customers yields a negative ROI and exposes the bank to unnecessary risk.

**Strategic Ideas to Combat:**

- **The "Loyalty-Risk" Matrix:** Deploy a strict rule for financial retention offers: Only customers with a Credit Score > 700 *and* a high balance receive premium interest rate reductions.
  - **Credit Rehabilitation Track:** For high-balance but low-score customers, do not offer cheaper credit. Instead, offer free credit-building advisory services. This builds intense emotional loyalty without exposing the bank to financial risk.
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## Slide 5: Expected Outcomes & ROI

**Speaker Notes:**

*"If we focus our resources on these three specific areas, we are not just 'reducing churn'—we are actively protecting our bottom line and increasing the lifetime value of our best customers."*

| Focus Area      | Primary Action                      | Expected Business Outcome                                                         |
|-----------------|-------------------------------------|-----------------------------------------------------------------------------------|
| 1. Silent Churn | Reactivation Concierge & Incentives | Increased daily transaction volume, higher "Wallet Share", and fortified capital. |
| 2. Year 3 Cliff | Anniversary Lock-ins                | Stabilized capital reserves; smoothed, predictable attrition curves.              |

| Focus Area             | Primary Action                 | Expected Business Outcome                                          |
|------------------------|--------------------------------|--------------------------------------------------------------------|
| 3. Credit-Risk Paradox | Selective Retention via Matrix | Higher ROI on retention budgets; protected loan portfolio quality. |

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## Next Steps & Recommendations

We request approval to launch a pilot Reactivation Campaign targeting the top 100 inactive customers by balance (ensuring they meet the >700 credit score threshold) starting next quarter.